IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No. 302

CP (CAA) No. - 58/230/232/ND/2022

IN THE MATTER OF:

Primedatabase.com Pvt. Ltd. And Praxis Consulting and Information Services Pvt. Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 18.08.2023**

CORAM:

SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open Court vide separate sheets. CP (CAA) No. 58/230/232/ND/2022 (2nd motion) stands **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N PRASAD)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 58 (ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. 17 (ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

PRIMEDATABASE.COM PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY NO. 1

AND

VENTURE MEDIA PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEROR COMPANY NO. 2

AND

PRAXIS CONSULTING AND INFORMATION SERVICES PRIVATE LIMITED

...PETITIONER NO.3/ TRANSFEREE COMPANY

Order Delivered On: 18.08.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. R S Bhatia, CS
For the Respondent :
For the RD : Ms. Shankari Mishra, Adv.
For the OL : Ms. Hemlata Rawat, Adv.

ORDER

PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s PRIMEDATABASE.COM PVT. LTD. (Transferor Company No. 1/Petitioner No.1), M/s VENTURE MEDIA PVT. LTD.(Transferor Company No. 2/Petitioner No.2), and M/s PRAXIS CONSULTING AND INFORMATION SERVICES PRIVATE LIMITED (Transferee Company/Petitioner No.3) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with M/s PRAXIS CONSULTING AND INFORMATION SERVICES PRIVATE LIMITED (Transferee Company/Petitioner No. 3). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.
2. The Transferor Company No. 1/Petitioner No. 1 i.e M/s Primedatabase.com Pvt. Ltd. is a private limited company incorporated on 30.03.2000 under the provisions of the Companies Act, 1956 vide CIN: U74999DL2000PTC104899, having its registered office situated at C-101, Rishi Apartment, Alaknanda New Delhi – 110019. Thus, the registered office of the Transferor Company No.1 is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 1 is Rs. 50,00,000 /- divided into 5,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 5,24,000/- divided into 52,400 equity shares of Rs. 10/- each.
3. The Transferor Company No. 2/Petitioner No. 2 i.e M/s Venture Media Private Limited is a private limited company incorporated on 20.06.1989 under the provisions of the Companies Act, 1956 vide CIN: U74899DL1989PTC036685, having its registered office situated at C-

101, Rishi Apartments, Alaknanda, New Delhi- 110019. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 2 is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 2 is Rs. 5,81,170/ divided into 58,117 equity shares of Rs. 10/- each.

4. The Transferee Company/ Petitioner Company No. 3 i.e. M/s Praxis Consulting and Information Services Private Limited is a private limited company incorporated on 16.11.1989 under the provisions of the Companies Act, 1956 vide CIN: U74899DL1989PTC038354, having its registered office at C-101, Rishi Apartments, Alaknanda, New Delhi-110019. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company is Rs. 1,00,00,000 /- divided into 10,00,000 equity shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 70,19,200/- divided into 7,01,920 equity shares of Rs. 10/- each.
5. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -
    i. The proposed Amalgamation will result in consolidation of database activities in which all 3 companies are engaged. This scheme will result in a simplified corporate structure.
    ii. The Amalgamated entity will provide increased size and higher capital base and pooled resources, resulting in greater integration, financial strength, higher net worth and flexibility, which will improve the competitive position of the combined entity for tapping business opportunities.
    iii. The Amalgamation will result in pooling of resources and economies of scale by achieving cost saving and reducing overlaps in managing and running multiple entities, more

focused efforts and also preventing cost duplication and rationalization of administrative expenses.

iv. The Amalgamation will result in greater efficiency in management of the merged entity and deployment of funds for organic and inorganic growth opportunities to maximize intrinsic value of the combined entity.

v. The Amalgamation will result in optimum utilization of resources.

vi. The Amalgamation will result in reduced regulatory compliances.

vii. Apart from above, the Amalgamation shall result in following benefits –

a) Optimum and efficient utilization and rationalization of capital, resources and assets.

b) Enhancement of competitive strength including financial resources.

c) Better management and focus on growth.

d) Obtaining synergy benefits.

e) Simplify shareholding structure and reduce shareholding tiers.

f) Maximizing overall shareholder value and improving the competitive position of the combined entity.

g) Improved organizational capability and leadership arising from pooling of resources.

6. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2021 or such other date as may be directed by this Tribunal.

7. From the record, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)17/ND/2022. Vide order dated 11.05.2022, the meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner No.1, Petitioner No.2, and Petitioner No. 3 was dispensed with.

8. Thereafter, the Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of

Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator

9. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi edition) edition as well as "Business Standard" (Hindi, Delhi edition), both dated 10.01.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.
10. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.
11. The Regional Director (RD) in its report dated 06.09.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 14.09.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide report dated 06.09.2022	Reply of the Petitioner Companies vide Affidavit dated 14.09.2022
Refer to clause 13 of the scheme, the Transferee Company may kindly be directed to comply with the provision of Section 232 (3) (i) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital, if applicable.	That pursuant to Clause 13 of the Scheme of amalgamation, total consolidated authorized share capital of "Transferor Companies" (as referred to Clause 2.3 of the scheme) of Rs. 1,50,00,000 (Rupees One Crore and Fifty Lakh only) shall stand carry forward and merged with the authorized share capital of Transferee Company without any further act or deed and

	upon payment of fee to on its revised authorized share capital, if applicable.

12. The Official Liquidator has filed its report dated 15.09.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.
13. In compliance of order dated 15.03.2023 passed by the Tribunal, the petitioner companies have filed the affidavit-cum-undertaking dated 21.03.2023 stating that the Transferee company will bear the income tax and will be responsible to pay the income tax dues, if any, as per law, and also filed 3 years' tax returns of the petitioner companies.
14. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.
15. In this petition it has also been affirmed by the petitioners that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.
16. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.
17. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore,

their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

18. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

19. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

    (ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

    (iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

20. This tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The appointed date as mentioned under the Scheme of Amalgamation is 01.04.2021, however, the Ld. counsel for petitioner agreed to shift the appointed date for the scheme to 01.04.2022, as recorded in order dated 19.04.2023.

(ii) Upon the sanction becoming effective from the appointed date i.e. 01.04.2022, as prescribed by this Tribunal, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

21. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

22. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

23. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
DR. BINOD KUMAR SINHA
MEMBER (TECHNICAL)

Sd/-
P.S.N. PRASAD
MEMBER (JUDICIAL)